

NONEMPLOYEE COMPENSATION REPORTING COMPLIANCE

FORM 1099-NEC FILING AND PENALTY SYSTEM

Section A: REPORTING THRESHOLD AND RECIPIENTS

Payers must file Form 1099-NEC for each person in the course of business to whom they paid at least six hundred dollars (\$600) for services performed by a nonemployee (independent contractor) during the calendar year.

Section B: FILING DEADLINES

The statutory deadline for filing Form 1099-NEC with the IRS and providing a copy to the recipient is January 31 of the year following the payment. This deadline applies to both paper and electronic filings, with no automatic extensions allowed.

Section C: LATE FILING PENALTIES

Failure to file correct information returns on time results in tiered penalties: fifty dollars (\$50) per return filed within 30 days late, one hundred ten dollars (\$110) per return filed more than 30 days late but by August 1, and two hundred ninety dollars (\$290) after August 1.